Windsor

Windsor Limited

A confectionary case study for Year 12 Business Studies

Windsor Limited

Overview

Windsor Limited is a very successful Australian manufacturer and exporter of chocolates and confectionary products listed on the Australian Stock Exchange.

In 2014, the business had annual revenue of $300 million, annual profits of $10 million, and a market capitalisation of $180 million.

Windsor operates through manufacturing facilities in Blacktown, Malaysia and New Zealand and operates 35 retail stores in Australia.

Table 1:
Key Financial Performance and business information 2014

Revenue	$300 million
Gross Profit	$120 million
Net Profit	$10 million
Employees	1,400
Market capitalisation	$180 million
Headquarters	Blacktown
Factories	Blacktown, Malaysia, New Zealand
Retail stores	35

Started in 2000 in Bankstown with mortgage

Windsor was established in 2000 by Jake Windsor using a $50,000 voluntary redundancy payment as the deposit on the acquisition and mortgage of a small factory in suburban Bankstown.

He acquired second hand confectionary and packaging manufacturing equipment to commence operations.

Three segments

Today the business operates in three segments:

- ***Windsor Chocolates****:* a wide range of confectionary and chocolate items sold via own stores and a wide range of retail locations including Coles, Woolworths, IGA, convenience stores and petrol stations

- ***Windsor Wow*****:** a small range of premium priced adult and occasion chocolates, sold via own stores and very selected retail locations (David Jones, some premium food outlets)

- ***Windsor House*****:** a competitor offering to Max Brenner, selling coffee, chocolates, chocolate pastries, Windsor Chocolates and Windsor Wow.

Table 2:
Segments, 2014

Segment	**Market**	**Products**	**Market share**	**Revenue**
Windsor Chocolates	Mass	Chocolate, boiled lollies, liquorice and other confectionery items	10%	$175m
Windsor Wow	Niche, Premium Sold in own stores and high end department and food stores	Adult and occasion chocolates	35%	$100m
Windsor House retail stores	High SES, niche	Coffee, chocolate experience, chocolate pastry items Packaged Windsor products and Infiniti products	20%	$25m
				$300m

Acquisition, growth, and working capital issues

Following commencement in 2000, the business rapidly grew with increasing sales in the supermarket channel with the mass market Windsor Chocolates brand.

Increasing manufacturing scale to respond to increased orders resulted in cash flow problems associated with the rapid expansion (in order to fund the inventory buildup and the increase in accounts receivable).

By 2003, revenues had grown to $5 million, the business was profitable, however expansion had placed significant strain on the company's working capital.

In order to address the working capital needs, the business factored its debts, provided discounts for early payment to customers, and established and drew down on a $5 million overdraft facility.

Quality and HR problems

In addition to working capital strain, management was not prepared for the impact of the rapid expansion on operations processes, the old equipment, and the workforce.

At smaller scale, processes were not documented and there was an absence of targets or processes for scheduling production runs of different lines that competed for the use of limited specialized equipment. No critical path analysis or Gantt charts were used.

With the increase in production levels, the defect rate increased, waste increased, customer and retailer satisfaction dropped, and employee morale plummeted.

In addition, workers were increasingly injuring themselves in trying to make running repairs to antiquated equipment, and cutting corners in order to meet order requirements.

Added to that, the working capital challenges meant that the business had not provided pay rises for 2 years in order to attempt to manage the expansion.

In 2004 matters came to a head and the workers took industrial action in a protracted strike that lasted 2 months. Inventory levels were insufficient for retailers, the brand value suffered with adverse media coverage, the supply chain continued to deliver raw materials in line with long term supply contracts, and the business was making monthly losses.

As a result of conciliation processes using an external

mediator:

- pay levels were increased
- a commitment made by Windsor to improve working conditions
- a commitment made by Windsor to move to ISO 9001 quality certification
- Windsor decided to relocate manufacturing facilities to a new greenfields site at Blacktown with state of the art equipment.

Today Windsor's workforce is predominantly covered by an enterprise agreement negotiated with three unions on behalf of employees that has been registered with the Fair Work Commission.

The balance of employees are covered by common law contracts.

The negotiation processes for the enterprise agreement enabled Windsor to achieve productivity provisions designed for the business.

Outsourcing packaging

When the business started in 2000, the company decided to not only manufacture the confectionery items but print the packaging as well.

In 2004, the design and production of packaging items was **outsourced** to a major global packaging company with operations in Australia.

The outsourcing of packaging design and production saved the business several million dollars a year in direct costs of manufacturing, and additionally Windsor were able to reduce warehouse space and security costs.

Exports commence: managing global financial risks for payments and receipts

Issues to consider in relation to the international expansion and supply contracts for cocoa were forward foreign exchange contracts and the method of payment for exports, particularly with exported goods into the UK and US markets.

Other issues for global sourcing include the sourcing of the chocolate beans that are sourced from overseas and are paid for by letter of credit, and also the corporate social responsibility issues in relation to sustainability.

Float and relocation to Blacktown

In 2004 the business floated on the ASX, relocated the factory to Blacktown from Bankstown, (ie resistance to

	change), voluntary and involuntary redundancy, reduction in workforce. Float proceeds were used to purchase the new factory and fit out and fund the redundancy payments.
Outsource payroll	In 2007 payroll was outsourced and the company purchased a new HRIS.
Sale and leaseback	As growth continued the business needed to increase working capital, and the new greenfields site was sold and leased back in 2007 to provide additional working capital.
International expansion via purchasing businesses funded by placement and SPP	In 2008 the business expanded its operations into New Zealand and Malaysia via purchasing existing confectionary businesses in those markets. The movement into Malaysia and New Zealand was achieved by the acquisition of chocolate businesses in those locations for $120 million. The funding for those acquisitions was a new issue of share in the form of a placement and a share purchase plan for new for existing shareholders With the rapid international expansion of the business in 2009/10 the business encountered financial difficulties as result of the GFC (economic), and as result of financing pressures (availability of credit).
Rebranding in 2013	Overtime the business has significantly increased its product range and rebranded in 2013 to update the brand as market research suggested that the confectionary market regarded the brand as no longer up-to-date. This was also important to compete with new competitors in the market producing chocolate from Europe.

Key events

2000	Established by Jake Windsor using $50,000 in redundancy payments. Mortgage to purchase property at Bankstown, and second hand equipment for chocolate manufacture and packaging production
2003	Early cash flow problems required factoring of debts, establishment of an overdraft and offering discounts for early payments to clients
	Commenced exporting to New Zealand and Europe
2004	Outsource packaging
2004	Listed on the ASX. Float proceeds used to purchase new greenfields site at Blacktown and state of art computer controlled manufacturing processes
2007	Faced with working capital difficulties in pursuing the expansion strategy, sold and leased back the Blacktown facility
2008	Purchased confectionary businesses in Malaysia and New Zealand for $200m financed by a placement to institutional shareholders and a share purchase plan
2009	Outsource payroll
2011	New CEO appointed via headhunters search

Operations

Operations

Strategic role of operations management – cost leadership, good/service differentiation

Windsor sees the strategic role of operations as ensuring that the business can gain a competitive advantage by delivering a product or a service that meets the requirements and expectations of customers using resources in a manner that is efficient and can drive profitability for the company's shareholders.

Windsor is not necessarily looking to compete on the basis of cost leadership in the market.

Instead it differentiates its products via the use of high quality ingredients such as cream instead of milk and the use of Fairtrade Cocoa beans, all of which add to the cost of production but allow the company to command a higher retail price from the customer.

In saying this, the operations manager at Windsor is still aiming to exploit economies of scale in production and drive costs as low as possible while simultaneously achieving this differentiation strategy.

interdependence with other key business functions

Operations work extremely closely with all other key business functions of the business.

Recently it has worked particularly closely with:

- **marketing** in the launch of Windsor House Retail Cafes that incorporate elements of production directly in front of customers. The idea was to integrate the production process in front of the customers so that they can live and breathe the authentic nature of the production process and potentially position the brand in a more luxury niche whereby consumers expect to pay more as a result of educating them on the production process, the time intensive nature of production and the high quality nature of ingredients being used.

  This boutique approach to production at the customer coal face has borrowed heavily from microbrewery success from companies such as the Little Creatures Brewery in Perth which has integrated its production with its retail operations.

- **finance** in regards to how the funds from the ASX float were spent in the move from the original Bankstown location to the new state of the art

production facilities that were purchased at Blacktown. The factory layout, design and nature of the machinery were all negotiated between the operations and finance managers.

- **HR** in managing the various redundancies and staffing issues that have impacted on Windsor over the past one and half decades.

Influences

Influences

Globalisation has many implications for Windsor's operations manager.

Globalisation

Globalisation has:

- increased the ability to source foreign inputs at cheaper prices and potentially relocate production to other nations to take advantage of cost savings due to new technology, resources or labour prices. This was the primary driver behind the expansion into the Mayalsian businesses.

- facilitated Windor's ability to source Cocoa Beans on a global marketplace which has allowed for easier sourcing. However, the USD price per of Cocoa Beans has risen from $904 in 2000 to over $3,000 by 2014 –reflecting the increasing global demand for chocolate related products as well as increasing financial speculation that these prices will rise in the future.

- increased access to foreign technology that can be used in the transformation process as a way of increasing efficiency, quality and speed of production. The new state of the art factory at Blacktown has been fitted with the highest quality Netherlands Chocolate producing system from Duyvis Wiener (world leader in chocolate production systems).

- increased volumes of production are available as Windsor is able take advantage of economies of scale now available through increased market size that has emerged due to increasing trade opportunities and expansion into Malaysia and New Zealand and potential plans to Europe.

- increased competition from global firms selling products similar to Windsor's has ensured that there is increased cost reduction pressures

throughout the operations function.

- increased sales to new foreign markets places pressure on operations to be able to customise products to meet local market tastes and preferences. Operations works very closely with Marketing to get a better understanding of local tastes and preferences in export markets and responds accordingly

Influence: Technology

Increased technology associated with the state of the art fit out at the Blacktown site has had an impact on:

- **Cost**: The new Dutch technology adopted has reduced the level of employment necessary during the production process. This has reduced wage costs as capital is substituted for labour. This is particularly beneficial as previous production methods have generally been fairly labour intensive at the old Bankstown facility. The downside is that it has created human resources tension through the redundancy program that was necessary.

- **Quality**: The new Dutch technology has produced a superior quality of chocolate due to increased precision during the transformation process. The machinery can be calibrated so that there is no opportunity for defects and human error has essentially been eliminated from the production process. The ability for the equipment to create a smooth, rich and consistent product has lead to a reduced number of customer complaints and had a positive impact on the warranties/returns budget.

- **Speed/Volume:** The new technology has increased the amount of units produced and increased the speed of production. Highly specialised, custom-built chocolate producing robotics provided superior performance relative to the old labour intensive process. Output has quadrupled (x4) and labour costs have halved (-1/2) as a result of the changes.

- **Flexibility**: The new production efficiency has allowed for excess capacity to be built into the production process which allows production to increase or decrease rapidly as a result of custom orders of social influences such as Easter, Christmas or school holidays. The system is now

able to process multiple variations of the chocolate varieties simultaneously leading to reduced bottlenecks and increased ability to respond to custom requests at short notice which has reduced lead times from 7 days to 3 days from ordering

- **Monitoring and controlling:** The Dutch equipment comes with modern software that allows for detailed tracking of the production process (including temperatures, colour checks and volumes against benchmark standards) and can immediately alert managers to issues in the production line which can be corrected in a timely fashion to minimise disruption and wastage. The software can be installed via an app on iPads and iPhones so that managers are constantly tracking and tacking corrective action were needed.

- **Supply Chain:** The Dutch technology has also allowed them to integrate their database with Woolworths, Coles and IGA as well as their own retail stores electronically. Point–of–sale customer data is sent directly from retailers to see how much stock is being sold and relay that information back to the factory/warehouse so that the stock can be replenished in a just in time fashion.

Influence: Quality Expectations

Consumer quality expectations places pressure on the operations process to become more dependable and reliable in order to meet or exceed customer expectations. This means that the operations manager needs to:

- Carefully consider the quality of inputs used in the production process. Windsor has marketed itself as a world leader in ethical and sustainable Fair Trade Cocoa Beans. There is a need to ensure that the compliance with these standards has been adhered to in order to ensure that the company is getting a higher quality yield of beans for the premium they are paying to suppliers. In addition they use cream rather than milk in the production process which needs to be stored under the correct conditions to ensure that bacterial and fungus does not infiltrate into the production batch.

The new Dutch production equipment is state of the art and has real time monitoring and controlling capacity that can allow the firm to respond immediately to quality concerns during the production process. Faults and break downs of the production line are serviced by a group of 3 highly skilled in house engineers who can respond

immediately.

Influence: Cost-Based Competition

Whilst Windsor does not compete based on cost, the market activities of cost based competitors does influence the operations function.

Where competitors lower their prices and maintain their profit margins as a result of installing more efficient production systems and distribution techniques Windsor must respond by being able to exploit economies of scale in production and drive down costs so that their retail prices are competitive while still profitable. With the move to the new state of the art facility at Bankstown, Windsor were able to drive costs down to, or lower than, industry best practice.

It is very important in their Windsor Chocolates mass market products that are sold into Coles and Woolworths which effectively compete on price to a large degree (more on this in marketing). It is less important in markets where customers are willing to pay a large premium for their product (Windsor House Café Retail stores).

Influence: Government Policies

Government policies are proposed and may or may not be implemented in the future depending on the political landscape and which party is in power.

Legal regulations have been passed by parliament (not just proposed) and are enforceable by law.

The government policy of repealing the Carbon tax meant that after the election win of the Liberal Party, Windsor's forward planning for electricity consumption and selection of machinery was no longer based on the assumption of a carbon tax.

With the passage of the repeal of the Carbon tax, operations should see a significant cost reduction in electricity prices that are considerable for the firms Blacktown operations.

Influence: Legal Regulations

Current laws that can impact the operations of Windsor include:

- **Work Health and Safety Act (2012):** requires firms to ensure safe workplaces for all of their workers by establishing a duty of care over the activities that employers require them to carry out. Windsor continually ensures that they proactively detecting hazards and take steps to eliminate them

as far as possible from the working environment. This is particularly important in their retail operations because of the close customer scrutiny that the production process is under given its visible nature.

- **Fair Work Act (2009):** requires firms to observe rules about rostering and staff employment terms and conditions such as overtime and rest breaks. It is essential that operations managers have an understanding of these laws to ensure they do not over work employees during production shifts. The majority of factory workers are under an Enterprise Agreement specific to Windsor. It is important that the various clauses and conditions are adhered to.

- **Environmental Protection and Biodiversity Conservation Act (1999):** sets in place standards for waste management and influences how and where firms can acquire natural resources for input into the production process. It ensures that all operations procedures have minimal impact on the natural environment and specifies protected areas free from exploitation. This governs the way waste is disposed of in the Blacktown factory. Windsor have contracted Veolia Commercial Waste Management Services to attend their site each day to remove waste (which is expensive but complies with the law and ensures a safe and hygienic work environment)

- **Workers Compensation Act (1987):** Forces compulsory payments of insurance premiums to ensure that firms have insurance that can pay for any injuries acquired by employees in the process of working at the firm. This is particularly relevant for operations managers as this is often the most dangerous area of the company in terms of serious physical injuries. Premiums rise year to year based on number of employees and previous claims. Riskier workplaces are forced to pay higher insurance premiums. There was an incident in which an employee at the retail store had their leg sliced and nerve damage as a result which was covered under this insurance scheme.

It is important to note that only the Australian operations are subject to these laws. Malaysian and New Zealand

operations have their own legislation to study and comply with.

Influence: Environmental Sustainability

Windsor have engaged in the following activities to minimise their environmental impact.

- The state of the art Blacktown Factory is 30% powered by Solar energy supplied by Australian firm TindoSolar who specialise in commercial solar installations. This reduces the demand for coal-generated electricity via reduced consumption.

- Outsourced packaging production in 2004 to a professional packaging firm who is able to reduce waste and inefficiency associated with packaging production.

Influence: Corporate Social Responsibility (ethical vs legal)

Windsor has been accused of purchasing the Malaysian business in order to drive down the costs of production and cut corners on production associated with environmental concerns.

Windsor has been embarrassed by reports that it has been paying its workers USD$2.43 per hour which complies with the legal minimum wage in Malaysia however there has been strong ethical pressure from the customer base to pay above and beyond this minimum legal requirement.

This does not fit well with its Fair Trade Cocoa Beans image and other sustainable energy initiatives that are supported by the company.

Processes

Inputs

Transformed Resources

Materials

- Full Cream Milk, Sugar, Cocoa Butter, Cocoa Mass, Milk Solids, Emulsifiers (Soy Lecithin, 476), Flavours. Milk Chocolate contains Cocoa Solids 26%, Milk Solids 28%)

Information:

- TBD

Customers

- Customers provide direct feedback about production processes in the Windsor Retail Cafes as they witness the production process in front of their eyes. They can request specific requests in

regards to the way their coffees (style, type of milk, sugars) and chocolates are produced.

Transforming Resources

Human Resources

- Windsor employees over 1,400 employees in Australia, Malaysia and New Zealand. The majority of these employees work in factories and are responsible for various elements of the production process.

Facilities

- Windsor has invested in a state of the art factory in Blacktown NSW, which is powered by Dutch Chocolate making technology from the company Duyvis Wiener. They also own and operate factories in New Zealand and Malaysia.

Volume

Volume simply refers to how much of a product needs to be made. Obviously the answer to this question will have a significant influence on the type of transformation processes required.

Windsor has a significant volume of production particularly with the Windsor Chocolates brand (sold in Coles, Woolworths, IGA and convenience stores) and the Windsor Wow brand (sold in David Jones and some premium outlets). As a result of these volumes, production needs to be streamlined, automated and sufficiently large to facilitate these demands. The state of the art factory at Blacktown has invested heavily in Dutch Chocolate conveyor belt equipment that means that the output can easily be accommodated. The new factory has been able to quadruple output and is still not at maximum capacity so there is still room to further increase production going forward.

Variety

The fact that Windsor produce products across three distinct markets. Windsor Chocolates (mass market to supermarkets), Windsor Premium Range (available at David Jones, Thomas Dux and their own retail stores) and the Windsor House Retail Café products (Premium, Niche chocolate pastry and coffee items) requires their production processes to be sufficiently flexible to accommodate a large variety of chocolate styles and quality. The new factory has the ability to simultaneously produce 25 different products while the old factory could only manage 5. This is primarily due to the fact that the new factory has installed 10 different production lines which are able to all run concurrently without creating bottlenecks or contamination for the other lines. This enables managers to switch between batch production more easily.

Variation in demand

Windsor Chocolates experience a natural seasonal variation in demand around Easter, Valentines Day and other key holiday events. Windsor has invested heavily in a state of the art facilitate which has increased productivity and as a result freed up additional capacity to meet spikes in demand around Christmas and Easter or unusually large one off demand when a new contract has been won. Ability to produce out of New Zealand and Malaysia has also increased responsiveness to short spikes in demand.

Visibility

Windsor House Retail Café experience involves production of premium, niche and products exclusively made and produced in front of retail customers in order to generate a competitive advantage over other rival cafes. The idea was to integrate the production process in front of the customers so that they can live and breathe the authentic nature of the production process and potentially position the brand in a more luxury niche whereby consumers expect to pay more as a result of educating them on the production process, the time intensive nature of production and the high quality nature of ingredients being used. This boutique approach to production at the customer coal face has borrowed heavily from microbrewery success from companies such as the Little Creatures Brewery in Perth which has integrated its production with its retail operations.

Clearly the impact on production processes is that this has required them to increase their focus on quality in production, reduction of waste, cleanliness and hygiene standards are also under more scrutiny as a result of direct inspection for customers and also the quality of ingredients and style and nature of the production equipment in stores is more aesthetically pleasing and less industrial looking in nature.

Sequencing and Scheduling Gantt charts, critical path analysis

Windsor floated on the ASX and raised funding required to build a state of the art factory at Blacktown NSW.

During this time it used critical path analysis and Gantt charts in order to carefully track project progress. The Gantt charts were used to make forecasts about the amount of time required to complete tasks and create "milestones" which need to be completed by certain dates. Additionally actual vs predicted performance was also be tracked using the Gantt chart, and the chart updated to reflect the current estimates of times to complete various components.

The critical path was also a useful tool because it allows the operations manager to visualise the relationship between which tasks are able to be completed simultaneously as well as the total time required to complete the critical path.

Critical path analysis and Gantt charts are now used as a part of standards operations management practices in the production facility.

technology, task design and process layout

The Operations Manager at Windsor worked closely with the finance team in order to generate plans for the factory expansion.

These meetings involved determining how exactly the machinery and equipment will be placed inside the factory (determining the physical layout). This would involve making decisions about where the equipment, workers, raw materials and finished goods should be placed.

The key criteria driving these decisions is how these decisions impact on: the efficiency of the production process, travel time between steps in the production sequence, opportunities for delays and bottlenecks and potential for damage to the goods as they move distances between production phases.

Windsor decided on using a 'product layout' which sees all the production equipment and workers laid out in the order in which the production of a product requires. It is the traditional approach to manufacturing which sees the equipment and stages of the transformation process arranged in a logic order which follows the chocolate from its conception to its packaging at the end.

Chocolate production is a highly sophisticated, computer controlled process, with much of the new specialist machinery being produced custom made.

Monitoring,

The Dutch equipment comes complete with modern software that

Controlling and Improvement

allows for detailed tracking of the production process and can immediately alert managers to issues in the production line which can be corrected in a timely fashion to minimise disruption and wastage. The software can be installed via an app on iPads and iPhones so that managers are constantly tracking and tacking corrective action were need be.

Data captured includes:

- Temperatures, pressures, volumes and colour characteristics at multiple stages of each process
- Average cost per unit of production (cost)
- Time taken to produce a batch of goods (speed)
- Amount of waste accumulated during the production process (inefficiency)
- Amount of unique/customised items produced (customisation)
- Number of products produced (Volume)
- Ability for production volumes to match demand for products (flexibility)
- Number of defects or faulty products produced (dependability)

Outputs

Customer Service

Customer service is a very important component of the Windsor House Café offering.

Staff are recruited because of their unique combination of technical ability in producing the products on site but also because of their exceptional level of customer relations skills.

The positioning of the café experience is a luxury premium one in which customers are paying that little bit extra for quality service and knowledge of the chocolate production process.

Warranties

The industry standard on chocolate products is to give a guarantee that:

'if you are not 100% satisfied, let us know and we'll happily give you a full refund or replacement'

That promise that is displayed on the packaging of all the mass produced Windsor Chocolate brands.

This statement has been removed from the packaging of the Niche Premium range as it should be automatically assumed that the quality would be met.

Operations Strategies

Performance Objectives

Quality

Windsor chocolates have positioned themselves as a leading producer of fine chocolates.

Returns from unsatisfied customers has dropped radically as a result of the installation of the state of the art production facility at Blacktown.

Returns per 10,000 bars:

- when produced at Bankstown: 10 bars
- when produced at Blacktown: 0.05 bars

Speed

Speed refers to the ability of the business to respond to changes in market demand. Ultimately businesses that take too long to meet market demand will struggle to compete.

As a result of Windsor's new factory upgrade in Blacktown, lead times have fallen from 7 days to 2 days. New batches can be run overnight and the surplus capacity generated by increased productivity allows for emergency batches at short notice.

Number of bars produced per hour:

- Bankstown: 100,000 bars
- Blacktown: 400,000 bars

Dependability

Operations managers must ensure that the product/service that they are responsible for does what it is intended to do and is consistent. A product will be viewed by consumers as dependable if it performs as expected to the standard. See the returns per 10,000 bars figure in 'Quality' above.

Flexibility

Flexibility refers to the ability of a business to add new products/services to their brand or move their resources into areas that need them. Businesses that are flexible tend to be able to move or engage their labour and capital resources quickly in order to respond to change. Flexible businesses are more likely to succeed as they have processes in place that allow them to respond to changing consumer tastes and preferences for their good/service.

Characteristic	Old	New

	factory	factory
Protype created for new product	2 weeks	2 days
Ability to increase production by 25%	Not possible	2 weeks
Number of unique products that can be made simultaneously?	5	25

Customisation

Windsor does not engage in unique customisation of product.

//There would be scope here to say that they do seasonal chocolate boxes with custom printing for corporate gifts and special orders?//

Cost

The objective of cost in operations is about minimising expenses in order to meet the financial objectives of the business – increased profitability. The operations manager can look at: sourcing cheaper inputs, increased productivity or a reduction in waste in order to meet this objective.

Windsor has outsourced packing production in 2004 and acquired businesses in Malaysia who can produce a lot cheaper than locally. Total impact is captured below

Item	Old Method	New Method
Packaging Cost per wrapper	5 cents	1 cent (outsourced)
Cost of Goods Sold (regular basic block bar)	$1.25	$0.75

new product or service design and development

Windsor has launched its Windsor House Retail Café business and this has been accompanied by a new launch of chocolate patisserie products that had previously not been produced.

The fact that these products are produced on site and have a good understanding of the local demand means that they can be produced and sold daily which is very different to the other standard chocolate products that can be warehoused and sold.

supply chain management – logistics, e-commerce, global sourcing

Windsor Chocolates (Woolworths, Coles, IGA)	Niche Premium Range (David Jones, Thomas Dux)	Windsor House Café
Supplied via wholesale channels and into these stores.	Supplied via wholesale channels and into these stores.	Produced on site. Just in time stock system

Global Sourcing:

- low cost labour from Malaysia.
- Fair Trade Cocoa (country of origin varies but usually Africa or South America)

Outsourcing

In 2004 Windsor outsourced the manufacturing of packaging to a transnational corporation that produces domestically in Australia.

Benefits:

- Allows business to focus on their core operations where they have competitive advantage.
- Less capital expenditure on packaging machinery going forward.
- Faster production as outsourced business has expertise, specialised equipment and purchasing power to drive cost savings in production that would not otherwise be attainable by Windsor.

Costs:

- Relies heavily on the positive nature of the supplier relationship to be effective. If they are not able to supply packaging to the Blacktown factory then there needs to be a halt in the production process.
- Loss of control over quality and standard of packaging

Technology

Leading Edge

- World leading continuous roasting technology
- Production Technology that allows for internet control of production techniques that do not require the operations manager to be physically present.
- Energy efficient production method that uses 30% less power than rival firms due to the efficient separation for shells to facilitate the Cocoa powder process.

Established

- Use of typical point of sale programs (eftpos, credit card facilities)
- Financial MYOB accounting software utilised to capture sales data at Windsor House Café stores.
- Use of bar codes for scanning and ordering purposes.
- Use of RFID tags for customer shipments

Inventory Management

Windsor has a significant warehousing component to their Blacktown processing facility.

Advantages of holding stock

- Able to meet customer demand at short notice
- Able to respond to changes in market demand
- If business has storage then they can buy in bulk at reduced price (economies of scale). This is necessary in the Cocoa Beans market to achieve the best price. Luckily Cocoa beans can be stored in the right conditions (low humidity) for several years without any impact on taste or quality.

Disadvantages of holding stock

- Reduced cash flow as money tied up in stock cannot be used for other purposes
- Cost of storage/warehousing/insurance and security
- Stock can be damaged in storage
- Have to have accurate stock taking in order to ensure stock is being turned over.

Even though the Cocoa Beans can last a long time they still use a first in first out stock rotation management system to ensure that the oldest stock is consumed first.

In addition, they also use the FIFO accounting method in order to maximise profitability in the short term as the prices of beans have tended to rise consistently over the past 15 years.

Quality Management

Quality Control

It is important for business to do checks whilst the production process is occurring, as it is far more costly to send out poor quality products to consumers and then having to recall them.

Windsor makes sure that control processes are in place that pick up defects early as it is less costly and more efficient.

Checks are done at various points along the production line.

Quality Checks include:

- Weight and size of bars against benchmarks
- Chocolate vs fruit/nut ratio is achieved
- Size and quality of Cocoa Beans before the production line has commenced. Taste, colour, thickness and appearance all considered as well as bacteria and mould checks
- Checking to see if the nutrient labelling matches the actual product produced in terms of calories etc.
- Most of these checks are done via sophisticated computer software that is integrated with production facilities.

Quality Assurance

Quality assurance refers to a business putting into place a set of standards that are to be met during the production process. These days several quality assurance programs are offered by outside providers and businesses pay for quality assurance certification.

Windsor Chocolates meets the following standards:

- ISO 9001 Qualification
- NEN-EN-ISO 14001 Environment system

Quality Improvement

The concept of continuous improvement is an ongoing effort to improve products, services or processes. These efforts can seek improvement in a step by step approach over time or breakthrough improvement all at once.

Windsor Chocolates implements a Total Quality Management (TQM) system of operations that focuses on continuous improvement (Kaizen).

overcoming resistance to change

Financial Costs/New Machinery/Redundancy/Plant Layout

- Considerable costs were associated with the relocation of production from Bankstown to Blacktown. The ASX float raised the money for the state of the art production processes installed at Blacktown. The purchases of the Malaysian and New Zealand businesses occurred later with the use of a placement and a share purchase plan.
- Several voluntary and involuntary redundancies occurred during this period and added considerable short-term costs involved with the restructure. Considerable industrial action also took place including 2 months worth of strike action in 2004.
- Retraining on the new Dutch Duyvis Wiener processing Technology negotiated for free with purchase.

Global factors

Global Sourcing

- low cost labour from Malaysia
- Fair Trade Cocoa (country of origin varies but usually Africa or South America)

Economies of scale

- Achieved through bulk buying coordination of Cocoa beans and milk on behalf of the entire operation.
- Facilitated through the winning of large contracts Coles and Woolworths that allowed for increased production volumes and reduced average cost per unit.
- The purchase of the Malaysian businesses enabled the business to lower average wages costs across the business to a more competitive level.
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Scanning and Learning/Research and Development

- Windsor attends all the industry conferences globally including the 2014 Washington Forum which meets with members of Congress and key government officials to discuss critical confectionery industry issues, including:
    - Economic impact of the candy industry
    - Sugar update/anti-dumping investigation
    - Health and nutrition policy
    - Trade policy
    - GE/GMO Labeling

- Next years state of the industry conference will be held in Miami in February 2015.
- Additionally Windsor attended the Sweets and Snacks Expo held in Chicago in May 2014 which was used an an opportunity to see what competitors are producing and ensure they respond quickly to any new trends in the industry.

Marketing

Marketing

Size of chocolate market (bars, blocks and special occasions) - $1.5b (Actual australian market 2013 in value).

Chocolate is produced from roasted ground cacao beans that are combined with other ingredients like milk and sugar. Cocoa is a powder produced from cocoa seeds that have been roasted, shelled, and ground.

role of marketing *strategic role of marketing goods and services*	The strategic role of Windsor's marketing department is to maximise sales for Windsor through developing a group of strategies that plan, price, promote and distribute Windsor's bars, blocks and special occasion chocolates and the Windsor Café brand in an attempt to maintain and grow market share (see specifics at Summary?). These strategies aim to deliver a unique sales proposition and deliver a sustainable competitive advantage. In doing this Windsor's will maximize revenue and increase profit.
influences on marketing *factors influencing customer choice – psychological, sociocultural, economic, government*	Psychological segmentation is used (see below in target markets). Economic influences often require adjustment to pricing strategies especially in the special occasion market. (see below in strategies) Socio-cultural influences are important in the development of promotional, branding and packaging strategies. (see below in strategies) Also heath conscious consumers are attracted to the benefits of cocoa.
consumer laws - *deceptive and misleading advertising* - *price discrimination* - *implied conditions* *warranties*	Windsor's must take into account these laws and pays particular attention to deceptive and misleading advertising in its promotional and product strategies. For example since the move to solely using Fairtrade cocoa whose source of origin varies (usually Africa or South America) it has removed the 100% Australian made claim on all its Australian packaging. Additionally they cannot claim the product is made from cream if it is not and therefore Operations ensure a continual supply of cream is available.. (Product of origin, fine print etc) Windsor's ensures that its price to retailers is

consistent and only varies this based on quantity purchased.

In the café market the promotional vouchers state clearly the use by date and any special conditions on the offers are clearly noted in the gift voucher/promotional vouchers.

Windsor's also ensures that the product is fit for purpose and limits the shelf life of its products (which is clearly stated on the labels) and accepts without issue returned products that have been damaged despite the fact that often the damage occurs from poor shelving conditions or storage conditions at a retail level.

ethical – truth, accuracy and good taste in advertising, products that may damage health, engaging in fair competition, sugging

Windsor's operates with the triple bottom line in focus and ensures all promotional material is in good taste.

TV adds and promotions are developed in conjunction with an agency and these are often tested on target audiences to ensure the positioning is reflected in the promotions and good taste is assessed in these processes.

Windsor's belongs to the voluntary group The Responsible Childrens Marketing Group set up by the Australian Food and Beverage Industry Council that adheres to the Core principles of marketing and promoting foods to children by ensuring that any promotions directed at children apply these principles. For example reference must be made that Windsor's treats should be a very small part of a healthy diet – Windsor's is a small treat and does not dominate daily calorie intake.

Windsor's promotes its Fairtrade chocolate with accurate representation and supports this initiative with additional marketing activity such as stories of children in Africa and South America enjoying Windsors' sponsored educational tools (books, internet connections in schools in areas near the Fairtrade plantation). Windsor also supports Oxfam who promote purchase of Fairtrade products by supplying free Windsor bars at all checkpoints in the Oxfam 100 km Team Trailwalks in Melbourne, Brisbane, Perth and Sydney.

Processes

marketing process	SWOT
situational analysis – SWOT, product life cycle	Whilst the marketing department regularly conduct swot anlaysis when they form their five year strategic plan (which is reviewed every year in November), it is also conducted on a yearly basis for each product category – blocks, bars, café and special occasion. Prior to the new bar varieties the swot looked like this: - **Strengths** – well known and trusted Australian brand, fairtrade accreditation, solid distribution arrangements in major supermarkets and route trade, excellent brand recall in the primary chocolate bar consumption group of 25 to 34, market share of 11% (second to Cadbury at 14%). Higher cocoa content has health benefits - **Weaknesses** – Smaller promotional spend than market leaders, lack of variety, brand a bit serious (lacking element of fun and under fire from Cadbury Marvellous Creations) - **Opportunities** – Develop new varieties, increase promotional spend, - **Threats** – Loss of Fairtrade status, loss of distribution in major supermarket due to increased listing fees or increased compulsory advertising contribution fees
Product life cycle	Windsor's bars and block and special occasion chocolates are in the maturity stage and hence the introduction of the new bar and block varieties. The Windsor's cafes are in the growth phase with emphasis on promotion to encourage trial at the café and experimentation with the menu and service to develop optimum mix.
market research	**Primary Research**: Windsor's commissioned a qualitative study to test a variety of flavours in the new extension of their chocolate bars - 16 focus groups across varying age groups found the most popular combinations were chocolate and chewy jellie bits, chocolate with honeycomb, chocolate with popping candy, chocolate with nougat and chocolate with caramel bubbles. Consumers also felt it was important they were made with Fairtrade chocolate and could taste the difference of those samples made with cream versus milk.

Secondary Research: Windsors use a range of secondary research as part of preparing their marketing strategy, including data from the ABS, IBIS World Research and BIS Shrapnel.

Findings from that research:

"Australians are becoming increasingly health conscious, a trend that has resulted in growing demand for low-fat and low-sugar treats. Dark chocolate is expected to be a popular choice this Easter as it is regarded as a healthier indulgence. Sustainability will also be on people's minds, with fair trade chocolates tipped to be a favoured gift," said IBISWorld spokewoman, Ms Dobie.

As well as dark and fair trade chocolates, Ms Dobie said it's predicted that premium brands such as Lindt and Windsor's Wow will enjoy an increasing demand as consumer sentiment improves, interest rates remain low and overall economic trends remain positive.

But Australians may have to spend more to fulfil their chocolate cravings this year. IBISWorld says a global rise in cocoa prices is likely to push chocolate prices higher.

Although the Global Financial Crisis (GFC) has meant less impulse buying, the research from *Australian industry research group BIS Shrapnel* showed that people are still willing to buy confectionary through convenience stores, milk bars and other 'route trade' locations. Overall, confectionary as a total product category has seen a growth of 18 per cent in value since 2010 to $711 million.
"This is typical consumer behaviour during tougher and uncertain economic times," said Rosengren. "Chocolates can be small and inexpensive, and we like to reward ourselves every now and then with a little treat," he said.

Chocolate dominates the confectionary category, making up two thirds of the category's $457 million total value.

establishing market objectives

Market objectives are established in the strategic plan over a five year period and on a yearly basis for the varying segments.

For Chocolate bars in 2013 the objective was to achieve a 15 % share as measure by the AC Nielson confectionary category study. This is an increase from 11% in 2012.

This was to be achieved by expanding the product mix from the plain chocolate to five varieties that increased the fun factor in the indulgence experience.

Customer service objectives included a one week turn around for customer returns and complaints (consumer and trade).

For the Windsor café the goal was to have a 85% customer satisfaction rating (on service and experience) as measured by a monthly exit survey.

identifying target markets

Target markets are well established and given the universal appeal of chocolates tend to be segmented demographically based on age in the chocolate bar and block markets.

Additionally Windsor's applies psychological segmentation using its Fairtrade focus (appeal to beliefs and attitudes) and increased cacao content and use of cream (appeal to taste motivation) and appeal to perception of quality (reinforced via packaging and price).

- 14 – 24 – Fun bars, dominated by Boost and recently challenged by Snickers – Windsor's does not perform well in the segment but obtains share with the plain chocolate bar. However sales have steadily increased in this age group with the introduction of the popping candy and jellie bits bars which appeal to this groups sense of adventure.
- 25 – 35 – Main bar consumption group, dominated by Cherry Ripe and Cadburys Dairy Milk. Windsor's fastest growing segment with success in new varieties particularly the nougat and honeycomb varieties
- 35 – 49 – Peak consumer for blocks,
- 49 plus – Blocks
- Café – Target market is all chocolate lovers looking for the ultimate indulgence. This market operates more on a behavioural segmentation with a usage occasion focus.
- Special occasion chocolates– target market is

all consumers 25 and up with the means to indulge in high end little luxuries.

developing marketing strategies

These are developed by the marketing team who use the information gathered in research and the objectives required to shape their strategies.

implementation, monitoring and controlling – developing a financial forecast; comparing actual and planned results, revising the marketing strategy.

Each year segment managers develop their forecast and compare actual versus planned sales on a monthly basis.

This often requires revision to the strategy such as a pricing change to move slow sellers (bars and blocks) or a revision of the menu at the cafes or change in promotional mix.

marketing strategies

Market Segmentation

market segmentation, product/service differentiation and positioning

Market is segmented demographically based on age in the chocolate bar and bloc markets. Additionally Windsor's applies psychological segmentation using its Fairtrade focus (appeal to beliefs and attitudes) and increased cacao content and use of cream (appeal to taste motivation) and appeal to perception of quality (reinforced via packaging and price).

Café –Market operates more on a behavioural segmentation with a usage occasion focus – special occasions (birthdays, dates)

Special occasion chocolates– segmented behaviourally – usage occasions – Easter and Christmas.

Product differentiation and positioning

Windsor's uses the positioning of *share in a little luxury.*

Its an everyday luxury that you deserve and that's easy to share – important for block and café markets as its something to do together (most consumers only buy blocks to share and its no fun indulging at the café on your own – you want to experience the little luxury with someone).

In contrast its competitors:

- Cadbury – Moment of joy - but this is more everyday and not as rewardful as Windsor's. (15 sec TVC on Joyville, heavy promotion of

	Marvellous Creations, mid price) - Lindt – Indulge yourself - but this does not involve sharing and suggests elitism (ie not available to all). Mainly product value advertising in print and online - Donna Hay, Delicious, Good Taste magazines, and newspaper insert magazines in The Australian (Wish and The Weekend Australian Magazine). - Wonka – Pure imagination and family values (building on Charlie and the chocolate factory). Whilst this is fun it is also solitary and unable to be shared (your imagination is yours) and its also not a serious chocolate choice.
products – goods and/or services	The Windsor brand is represented by the distinctive W on the Windsor name.
branding	Its brand values are embodied in the "share in the luxury" tag line with emphasis on sharing and warmth. The product is Fairtrade certified.
Packaging	The Windsor brand is recognised by its black foil and silver name with cheeky icons to represent the varieties. Bar weight is 50gm and is elongated with long thin rectangle pieces. Block size is 180gm and also has the elongated rectangle pieces size.
pricing strategies – skimming, penetration, loss leaders, price points *price and quality interaction*	Windsors Wonder bars and blocks began with a slight price premium to instil the perception of a product that was affordable but better than the everyday Cadbury. This was also to reflect the Fair trade status and the use of cream. Pricing was then moved downward to penetrate the market and grow share at the expense of Cadbury's. Both products now operate at similar price levels. Block chocolate operates at price points with all companies reducing size of blocks from over the past three years to maintain the sub $3.50 price point. Most have dropped from 250gm and many different size options exist in the market to maintain optimal price points.

Special Occasion products are premium priced to reflect exclusive product features and unusual mold shapes and the exclusive distribution strategies.

Current market pricing

Bars

- Cadburys – 50gm chocolate bar - $2.20, 50gm marvellous creations bar - $2.20
- Wonka – 50gm chocolate bar - $1.99
- Lindt – 39gm crunch nougat - $2.20
- Windsor Wonder Bars – 50gm - $2.20

Blocks

- Cadburys – 300gm Marvellous creations - $5.39, 220gm Cadbury Chocolate – $3.29
- Wonkas – 170gm Chocalicious - $4.62
- Lindt – 100 gm block - $3.20
- Windsor Wonders – 180 gm blocks $3.30

Promotion

elements of the promotion mix – advertising, personal selling and relationship marketing, sales promotions, publicity and public relations
the communication process – opinion leaders, word of mouth

Windsors launched the new varieties with a national TV campaign. A special Youtube version of the share a luxury ad was produced that showed various business, sports and fashion leaders sharing a joke on themselves with a friend whist sharing a Windsor Wonder Bar.

The new varieties were sampled via promotional girls at major shopping precincts to encourage trial with a voucher given out as well for a special offers at the Windsor café.

Major radio stations conducted a promotion that rewarded the funniest time you had shared a Windsor bar with a friend. Participants recorded their stories on the Windsor Facebook page and several were called live each day to recount the story on air. The grand winner in each state hosted a private party at the Windsor Café.

To generate awareness of their Fairtrade status Windsor supplies free Windsor bars at all checkpoints in the Oxfam 100 km Team Trailwalks in Melbourne, Brisbane, Perth and Sydney. This event is significantly promoted via radio and TV personality endorsement and receives news coverage in all states on the day of the event and Windsor's features prominently at the event.

Additionally the increased cocoa content appeals to

this promotion as well given the health conscious attitude of consumers willing to walk 100kms. Several sporting, music and business personalities such as Ricky Ponting and Delta Goodrem and Solomon Lew have committed to the Windsor brand due to its free trade status and receive free supplies of chocolates and use of the cafes in return for their support.

Social media is dominated by the Windsor Facebook page that report on events and happenings of the prominent personalities aligned to the brand. Cross promotions with brand aligned movies and concerts are run via social media.

place/distribution

distribution channels channel choice – intensive, selective, exclusive

Windsor Wonder Bars and blocks use an intensive distribution policy and can be found in convenience stores, milk bars, major supermarket chains and other 'route trade' locations.

physical distribution issues – transport, warehousing, inventory

Windsor Wows special occasion chocolates have a selective distribution strategy and are found only in speciality chocolate stores and David Jones Food Halls. This reflects their price premium and the increased cream and cocoa content.
Windsor cafes are relatively exclusive with limited numbers in each major city to reflect the unique and highly luxurious experience.

Transportation issues involve the warehousing of the unusually shaped special occasion chocolates which can result in product damage and the need for refrigerated trucks in warmer cities and locations.

people, processes and physical evidence

Windsor's service staff in the cafes are required to reflect the brand qualities of sharing and warmth and are expected to conduct their business and grooming in a manner fitting this approach. Staff are equipped with black and silver outfits.

The process in the café is reflected in the open style preparation area and the absence of pre-prepared foodstuffs and chocolate mixes. All items on the menu are prepared to order with the finest ingredients on display.

The Windsor café's physical environment reflect the silver and black themes and the booths with the round

	edges and plush seating mimic the warmth and share perceptions of the brand.
e-marketing	E-marketing is utilised by promotions (see above) and is also used to make bookings and provide information for the Windsor Cafes.
global marketing	In 2008 the business expanded its operations into New Zealand and Malaysia via purchasing existing confectionary businesses in those markets. Existing product lines from the two purchased businesses were kept and the Windsor Wonder bars and blocks were introduced in both New Zealand and Malaysia in 2013.
global branding	The distinctive Windsor W was kept on products for the New Zealand and Malaysian market as a cost effective measure but only after research confirmed the positive appeal of the brand name and that its pronunciation in Indonesian was not similar to anything that could have negative connotations.
standardisation	For the New Zealand market a standardisation approach has been used given that the needs Windsors satisfy and the way bars, blocks, premium chocolates and chocolate cafes are used are very similar. This is due to the extensive similarities between the New Zealand and Australian cultures. This also allowed for the use of identical promotional strategies creating economies of scale in marketing material costs.
customisation	In Malaysia a customisation approach was adopted to take into account differences in language, cultures, customs and economic and political characteristics. Whilst some of the basic Windsors features were kept such as the Windsor logo and the distinctive shape the packaging was changed to a deep purple as black is very strongly associated with mourning. Additionally green has strong ties to the predominant Islamic religion and is a semi-sacred colour so was not used on any packaging. Research also indicated that different flavoured bars were required and Windsor's has developed the mango and papaya fruit variety and coconut and peanut Wonder Bar to account for the different cultural tastes. Promotional strategies are developed in conjunction with a promotional agency in Malaysia and approved by head office in Australia.

global pricing

Pricing is coordinated across the three markets to reflect the positioning of the brand. In New Zealand the price positioning is completely consistent with Australia given the flow of Australians and New Zealanders across the Tasman to protect the brand values that have been well established in Australia over the years. In Malaysia the pricing is at a slight premium to develop and instil the brand values, to reflect the unique ingredients in the Windsor Wonder bars and to distinguish it from locally produced products that do not promote Fairtrade.

competitive positioning

The brand positioning in New Zealand was able to be consistent with the one developed for Australia given very similar competitors in the market - ***share in a little luxury.*** Its an everyday luxury that you deserve and that's easy to share – important for block and café markets as its something to do together.

In Malaysia research revealed the following: Consumers' growing sophistication in Malaysia alongside their improved disposable incomes and exposure to international trends via the internet saw them more willing to try out various products. Improved disposable incomes also raised consumers' willingness to invest in premium chocolate confectionery, which they deemed to have a higher product quality and can improve their lifestyle quality. Furthermore, premium chocolate confectionery can better reflect their status, especially for gifting.

Cadburys dominates the market with an established presence and strong marketing. and the wide availability of its Cadbury brand sustained consumers' interests over the review period. Late 2013 also saw the player revamp the packaging for its tablets to a more vibrant and simple purple packaging.

Whilst Nestle market Kit Kat in Malaysia they are yet to launch the Wonka brand and have little presence in the block market.

Finance

Finance

Role of Financial Management	Windsor has an in house finance department of 10 led by the Chief Financial Officer. His role is to ensure the finance function contributes to the organisational bottom line by strategically managing the finance needs of the business.
strategic role of financial management	
objectives of financial management *- profitability, growth, efficiency, liquidity, solvency*	The finance department seeks to reach a balance between maximising profitability and pursuing growth, whilst maintaining efficiency and liquidity and remaining solvent.
- short term and long term	In the short term management have the objective of minimising expenses in the short term to maximise profitability. Long-term goal is to create wealth for its owners whilst pursuing growth strategies through acquisition and new export markets.
interdependence with other key business functions	They have worked closely with the operations function particularly when relocating its manufacturing base from Bankstown to Blacktown to ensure they could purchase the necessary machinery to mass produce its product by the most efficient means. They work closely with **Marketing** to ensure sales budgets are achievable. They work closely with **HR** to finance the cost of restructuring and redundancies that have occurred through its history.
Influences on Financial Management	Windsor started with humble beginnings in 2000 when Jake Windsor used his $50,000 redundancy payout to put towards a deposit on a small factory in Bankstown. Since that time the business has grown to one generating net profit of c. $10 million p.a.
internal sources of finance *- retained profits*	As a public company, Windsor distributes a part of this profit to its shareholders as dividends, but some is retained in the business to help fund research and development of new products and to provide funds for future possible acquisitions.
external sources of finance	Through its history, Windsor has had cause to access a number of finance products.

debt - short term borrowing, long term borrowing	Its short term debt needs have included debtor finance (factoring) to address a cash flow problem it experienced as the business struggled to keep up with demand for its product. At the same time it also established and drew down a $5 million overdraft facility to cover short-term cash flow needs. Windsor has also used long term facilities such as a mortgage to acquire the small Bankstown factory. Leasing finance has been used to fund the purchase of factory machinery, company cars and delivery vehicles.
equity - ordinary shares, private equity	In 2003 Windsor was listed on the ASX. The IPO sought to raise $50 million with funds to be used for the purchase and fit out of a greenfields site in Blacktown for the relocation of the business into a state of the art manufacturing hub. Following continued expansion locally, Windsor looked to acquire similar businesses overseas. In 2008 Windsor had entered into agreements to purchase confectionery businesses in Malaysia and New Zealand. These acquisitions were financed via a share placement and a share purchase plan for new and existing shareholders. The issue raised $120 million.
financial institutions - banks, investment banks, ASX, etc	Windsor's principal bankers are ANZ. They have obtained mortgages and overdraft facilities through them and their main cheque account is conducted through them. They factored the accounts receivable through Scottish Pacific, a major debtor finance provider in the market. Every few years Windsor put their banking services out to tender to ensure they are getting the best possible deal from their financial services providers. UBS, a major investment bank, advised and underwrote the IPO when the business floated, and the subsequent placement and purchase plans. As a public company, Windsor (WIN) is listed on the Australian Securities Exchange (ASX). They had to issue a prospectus to potential investors as part of their Initial Public Offer (IPO).

influence of Government - ASIC, company taxation	The directors of Windsor are bound by ASIC to ensure they carry out their duties honestly, diligently and in the best interests of the company. As a company they pay tax at the current rate of 30% on all net profit earned in the business.
global market influences - economic outlook, availability of funds, interest rates	The GFC impacted upon Windsor significantly. As the economy deteriorated, sales of their products across the board slumped as many consumers cut back on their discretionary spend. Significantly, when the business was looking to expand into New Zealand and Malaysia, it decided to raise the requisite funds through equity as the availability of debt funds became an issue. Windsor is in a strong financial position but keeps an eye on the interest rate environment. Leasing facilities are on fixed interest rates and management look to fix longer term bank borrowing facilities if the global market supports the view that interest rates will shortly rise.
Processes	
Processes of Financial Management	Towards the end of each financial year the Finance Department meet with senior executives and Marketing to develop sales targets for the coming year.
planning and implementing - financial needs, budgets, record systems, financial risks, financial controls	They also identify any projects (e.g. new assembly line, new product range, increase in workforce, establishing new export markets) that require additional finance. This allows them to generate budget forecasts so that the business establishes goals of where it wants to be at the end of the year. The business utilises accounting software to keep track of performance and monitor plan to actual results. The business monitors financial risk and has implemented strategies to mitigate these. They research the credit-worthiness of any new client before extending credit terms, they have taken out insurance contracts to cover for such things as interruption to business in the event of an extended power outage halting production, fire, theft of stock, and public liability should any of the product become

contaminated.

debt and equity financing - advantages and disadvantages of each

Windsor has used various types of debt finance over its history.

The **advantage** of debt is that it allows the business to structure deals over the lifetime of the asset being financed (e.g. 4 year lease for a company car), without diluting the ownership of the business. The interest payments are tax deductible to the business, debt finance can be arranged relatively quickly and repayments can be structured to suit the cash flow of the business.

Disadvantages of debt are that it can be expensive. Apart from interest costs, Windsor have had to pay bank establishment fees, line fees and commitment fees. Repayments must be made regardless of the position of the business, which caused some problems in the early growth stage of the business as cash flow became tight.

In addition to debt, Windsor have made extensive use of equity finance.

There are many advantages to Windsor in doing this. In 2004 Jake Windsor made the decision to go public and listed the business on the ASX. This float raised $50 million which was used to finance the purchase of a greenfilelds site in Blacktown and fit it out with a fully computer automatic production facility.

In 2008, Windsor again went to the market and raised an additional $120 million to finance the overseas expansion.

The major advantages of equity finance are that the money raised does not have to be paid back, there are no repayments meaning there are benefits to Windsor's cash flow. There are no debt servicing expenses (interest) and investors are generally prepared to wait some time to get a return on their investment.

If the management of Windsor were to look to debt finance for their expansion activities it is unlikely they would have raised the requisite funds.

The disadvantages of equity for Windsor are that Jake's ownership of the company diminished. Rather than

	interest payments, Windsor pay dividends to shareholders. These can however be postponed should the business not be in a position to pay them. Dividend payments, unlike interest, are not tax deductible.
matching the terms and source of finance to business purpose	Windsor chocolates took out a mortgage for 20 years to finance the purchase of their original Bankstown factory. The overdraft facility of $5 million is a short-term facility intended to cover cash flow fluctuations. Lease facilities are generally written to correspond with the economic life of the asset being financed
monitoring and controlling - cash flow statement, income statement, balance sheet	Forecast cash flow, profit and loss and Balance Sheets are prepared by the Finance Department each year. Actual figures are prepared each month and compared to the forecasts. If there is a wide discrepancy between the two then action is taken to rectify.
financial ratios *liquidity - current ratio*	As at 30 June 2014 Windsor had current assets of $80 million against current liabilities of $30 million, giving it a **current ratio** of 2.67:1, meaning that for every $1 in current liabilities the business has $2.67 in current assets to cover it.
gearing - debt to equity ratio	Windsor Chocolates enjoy a healthy financial position on account of their strong balance sheet given the preference to raise funds via equity as opposed to debt. As at 30 June 2014 the **debt to equity ratio** stood at 0.33:1, that is, $0.33 gearing debt for every $1 equity.
profitabiity *gross profit ratio*	On revenue of $300 million, Windsor's Gross Profit was $120 million, giving a **gross profit ratio** of 40%, meaning that for every $1 in sales $0.40 is made in gross profit.
net profit ratio	Net Profit was $10 million, giving a **net profit ratio** of 3.33%, meaning that for every $1 in sales $0.033 is made in net profit.
return on equity ratio	Total equity on the balance sheet as at 30 June 2014 stood at $180 million. On profit of $10 million, this gives Windsor a **return on equity ratio** of 5.56%, meaning that for every $1 in equity $0.056 is returned in net

profit.

efficiency
expense ratio

Total expense in the 2014 financial year was $110 million. On sales of $300 million this gives an **expense ratio** of 36.7%, meaning that for every $1 in sales $0.367 was spent to earn it.

accounts receivable turnover ratio

As at 30 June 2014 accounts receivables stood at $27 million. Giving an **accounts receivable turnover ratio** of 11.11 times, meaning an average collection period of 32.85 days.

comparative ratio analysis

The below table shows a comparison of ratios for Windsor over time and against industry averages:

different time periods against standards with similar businesses

	2012	2013	2014	Industry
Current	2.33:1	2.58:1	2.67:1	1.57:1
Debt: Equity	0.40:1	0.37:1	0.33:1	0.95:1
GP	39%	41%	40%	31%
NP	3.50%	3.30%	3.33%	2.40%
ROE	5.88%	5.69%	5.56%	3.86%
Expense	36.4%	37.5%	36.7%	38.3%
A/c Rec	11.22x	11.24x	11.11x	10.64x

limitations of financial reports - normalised earnings, capitalising expenses, valuing assets, timing issues, debt repayments, notes to the financial statements

Normalised earnings

Windsor Chocolates recently sold one of the large machines used in the production line, in order to upgrade. This was sold at a loss of some $1.5 million. It's important that this be accounted for in the profit and loss account as a one off (or extraordinary) event.

Capitalising expenses

Windsor Chocolates incurred significant costs when raising equity for the expansion overseas. These costs included preparation of the prospectus, legal fees and advice and underwriting fees. Rather than booking

these costs as an expense in the year they were borne, management decided to amortise these expenses over a number of years.

Valuing assets

Windsor Chocolates depreciate non-current assets, such as motor vehicles and machinery per the accepted Accounting Standards. The largest asset of the business (the factory) however has not been valued since it was completed in 2003. This distorts the true value of the business on the balance sheet and makes it an attractive take-over target.

Management are currently looking into hiring an independent valuer to give them a current market value of the factory so that its true value can be reflected in the Balance Sheet.

Timing issues

In the lead up to the end of the 2014 financial year, Windsor prepaid its insurance policies for the 2015 financial year. This allowed them to pay their insurance before scheduled premium increases came into effect but also allowed them to increase expenses in the current year therefore reducing its tax liability for that year.

Debt repayments

Many of Windsor employees have been with them from the early days of the company. They are now approaching the time they can avail themselves of their long service leave entitlement. Windsor has been careful to set aside funds each year to account for this contingent liability. Not only are they required to pay the employee's usual salary or wage during their absence, they may need to hire someone to fulfil the tasks of that employee therefore increasing overall wage costs.

Notes to the financial statements
The Balance Sheet and Profit and Loss statements tend to 'pool' assets and expenses and it can be difficult to

determine what they consist of just by reading the main statements. For this reason Windsor provide notes to the financial statements towards the back of the Annual Report. It's important that shareholders read these so that they get a proper picture of the financial performance of the company.

ethical issues related to financial reports

The management of Windsor Chocolates have appointed Ernst & Young as auditors to their accounts.

Although a requirement as a public company to have the accounts audited, Windsor appoint external auditors to the business in order to give shareholders confidence in the business they're invested in, it highlights to management if money can be saved in the business, if there has been incidence of fraud, and ensures correct accounting standards have been followed.

Strategies

Financial Management Strategies

cash flow management
cash flow statements

The finance department prepare cash flow statements to show cash inflows and outflows of the business. They also provide cash flow forecasts to determine any short term funding they require throughout the year. There are peak period of inflow around Valentines Day, Easter and Christmas. These are usually preceded by peak periods of cash outflow as the business gears up.

In the early years of operation, Windsor suffered cash flow problems as the business struggled to keep up with demand and get sufficient cash through the doors.

distribution of payments, discounts for early payment, factoring

To smooth outgoings management arranged to pay for insurance premiums in monthly instalments. In order to speed up payments, management offered discounts of 5% if payment of invoices was made within 20 days. They ultimately made the decision to factor their accounts receivable. Although selling these at a discount, it was cheaper than financing their needs through an overdraft facility.

working capital management
control of current assets
cash
receivables
inventories

Windsor is in a strong working capital position with the current ratio at 2.67:1. The main liquid assets are cash, accounts receivable and inventory (stock). The business implements various strategies to ensure there is sufficient cash to fund liabilities as they fall due.

Current liabilities consisting of accounts payable, loans

control of current liabilities
payables
loans
overdrafts

and overdrafts also need to be managed carefully. Windsor strives to keep all suppliers happy and pays its bills on time. It enjoys a good credit history and as such has been afforded extended terms for the payment of invoices. Management only pay invoices on the due date ensuring they have use of their cash for as long as possible.

Before taking out a loan. Windsor compares with alternative financing arrangements to ensure they are obtaining the best deal.

An overdraft facility is intended to fund only short term cash flow needs. It's important that there is no 'hard core' debt component in the overdraft facility (i.e. the account fluctuates from debit to credit on a regular basis).

strategies
leasing
sale and leaseback

To maintain its strong cash position management adopt a strategy of leasing non-current assets such as company cars and delivery vehicles, and machinery for the production of the chocolate.

Faced with working capital difficulties in pursuing the overseas expansion strategy, management sold off the Blacktown facility and entered into an agreement to lease it back.

profitability management
cost controls
fixed and variable cost centres
expense minimisation
revenue controls
marketing objectives

Although profitable by industry standards, Windsor are always looking for ways to improve their profitability by keeping check of their costs.

Costs can be broken down as fixed or variable. In terms of fixed costs, management in 2004 decided to outsource the packaging function of the business. Where once they designed and manufactured the packaging themselves, this was outsourced to a global packaging company with operations in Australia. This saved many millions of dollars a year and the requisite warehouse needs.

This strategy was repeated in 2007 when the company outsourced its payroll function.

In addition, they negotiated favourable terms when entering into the lease agreement for the factory, and their insurance policies are held with the one insurer in order that they can avail themselves of a multi-policy discount.

To keep check on variable costs, a few years ago management rationalised the number of suppliers it used and then negotiated bulk buy discounts with them.

When setting up the cafes in ensured staff were multi-skilled so that they could work behind or in front of the counter. Although the cafes have a core component of full time staff, management rely on a number of casuals.

In order to achieve maximum use of resources, management of Windsor have allocated budgets to departments (such as HR, marketing and operations) and individual cafes. These are then monitored and action taken to rectify if needed. It ensures accountability and ensures waste is minimised.

As fixed expenses cannot be changed in the short term it is usually variable expenses that are targeted for expense minimisation. The emphasis on casual staff for the cafes is an example.

Management also call upon casual staff in peak periods of production. The move to more automated production techniques allowed management to cut down on the number of employees required in the factory.

A successful marketing mix will result in increased revenues for the business. Windsor's pitch as an indulgence product and its aim to achieve 15% of the chocolate bar market (up from 11%) through the introduction of popping candy bars and nougat and honeycomb varieties, appealing to the 14-35 year age groups, has seen revenues increase in recent years.

global financial management
exchange rates
interest rates
methods of international payment
payment in advance
Letter of Credit
clean payment
bill of exchange
hedging
derivatives

As part of the global confectionery market, Windsor are susceptible to global financial variables.

Windsor import the cocoa from Ecuador and Ghana. Both suppliers require payment in US dollars. The recent trending appreciation of the Australian dollar has benefited the business as it has seen the cost of the beans decrease in Australian dollar terms. The flip side however has meant that exports of the finished product to the US and UK markets have suffered as they become more expensive in the export market.

Windsor borrows funds for the business domestically. Its foreign exchange earnings in US dollars and pounds sterling is not yet sufficient enough to provide a natural

hedge allowing Windsor to borrow in these currencies.

Windsor import the cocoa beans from Ecuador and Ghana. These suppliers require payment in US dollars. Windsor pays for these through a letter of credit. A letter of credit (LOC). This strategy carries a lower level of risk for the exporter, as it is a document issued by a bank giving the seller (exporter) authorisation to draw a specified sum of money from the buyer's bank account.

Similarly, Windsor require a letter of credit from their clients (mostly large supermarket chains) in the US and UK .

As stated previously, Windsor have benefited from the trend appreciation in the Australian dollar in recent years in regard to the import of the cocoa beans. To ensure they are not caught out by a sudden depreciation in the dollar, Windsor have entered into forward exchange contracts to effectively lock in the exchange rate.

Human Resources

Human Resources

Role of HR
Strategic role…

Windsor have an in-house HR function with a staff of twelve led by the HR manager.

Interdependence…

Outsourcing…
HR functions
Contractors - domestic and global

The role is to ensure the HR function contributes to the organisational bottom line by strategically managing the human resource needs of the business examining skills, education and future business needs with a view to having an advantage over competitors because of a motivated, efficient and skilled workforce.

They are interdependent with the other functions of the business, working closely with:

- **operations** particularly when transitioning to the niche market of making chocolate in store in front of customers. The HR function examined the skills and personal characteristics required of those staff once operations and marketing had clearly identified the role and nature of the retail function.

- **marketing** where they have recruited recent graduates with high skill level in digital marketing to create a competitive advantage in the emarketing space

- the **finance** function has utilised HR for training and education purposes organising attendance at conferences and subsidising courses at the Securities Institute and with the ASIC.

The HR function had completed payroll functions previously. However following a financial audit in 2009, the payroll function was outsourced in 2010 to Aussiepay (http://www.aussiepay.com.au). The outsourcing saved $50,000 per year.

HR used domestic & global contracted headhunters to do executive searches including the new CEO who was appointed in 2011.

Influences on HR
Stakeholders…
Legal…..the current legal framework

The stakeholders influencing HR include:

- the business and employer associations
- employees and their unions
- the Fair Work Commission
- society

Employees have signed an Enterprise Agreement (aka certified agreement) with the company, under which they are better off overall than under the relevant awards. (BOOT test)

The original agreement was signed in 2007 for four years and the current agreement finishes in June 2015. The Enterprise Agreement replaced the Award that the manufacturing workers were on, and came into force when the factory was moved from Bankstown to Blacktown in 2007.

The EA provides significantly better conditions for the employees although there have been large gains in efficiency that coincided with the new technology at the Blacktown factory site.

Senior management at Windsor work under common law contracts that were negotiated with them when they were hired.

Legal

Recently the company was faced with large compensation claim when a faulty blade at one of the new customer visible retail stores dislodged and sliced the leg of an employee causing nerve damage. Apart from this incident, their recent work health and safety record is excellent with the new factory largely automated and fewer staff involved in the manufacturing process.

The company is recognised as an employer of choice and their workforce ratio of men to women is 60:40. However, in management positions it is 50:50. In 2010 a sexual harassment claim was made against a line manager in the factory and following an internal investigation the manager was dismissed. The employee was offered counselling and remains with the company today.

Economic

Windsors have found the current economic climate challenging. Whilst economic growth remains relatively strong although below long term averages, consumers have been more discerning with their disposable income and the competition at Cadbury's have improved their efficiency and been able to minimise price rises. This has meant the company has been required to limit pay rises for staff and have linked future pay rises to efficiency.

In fact, the efficiency of human resources in the business has grown by 2.8% per annum since the move to Blacktown.

Technological

Technology has had a large impact on HR.

It has allowed the payroll function to be outsourced and the upgraded plant has led to major redundancies in the manufacturing process. It has also enabled better information systems to be utilised by the HR function and skills, education and accreditation to be tracked.

They have purchased and installed a new Human Resources Information System which includes online recruitment, an online learning platform, and subscribe to a website providing 360 degree feedback for staff.

Social

The multicultural nature of Sydney means that there are twelve nationalities represented on the factory floor at Blacktown. Given the changing demographics of Sydney, the location is close to the homes of many employees and is easily accessed on the new motorways. The factory is open 24 hours and the employees work a flexible 12 hour shift, working three days on and four days off.

As an Employer of Choice, Windsor is committed to the work/ life blend, diversity, employee engagement programs, maintaining a strong safety record, as well as employee volunteering initiatives.

Windsor provides individuals with the opportunity to develop their skills and grow as professionals. In 2012 they invested more than $2 million on training.

The training program investment is above the national average, with 4% of payroll spent on training annually.

They also encourage employees to improve professional skills through external study, or by acquiring additional qualifications. Windsor's Education Tuition Aid Policy supports employees by providing time-off and financial support for approved courses.

Windsor also takes a collaborative approach to sharing learnings and technology which deliver environmental benefits to industry and the community.

Ethics

HR Processes

Acquisition

Windsor use a variety of acquisition processes dependent upon the vacancy they are filling.

They recruit using Seek for manufacturing and administrative positions within the firm.

They use specialist recruiting agencies (outsource) for executive roles such as the head of Finance and contracted global headhunters in the search for a new CEO in 2011.

They also post jobs on their intranet, and use technology to increase the efficiency of the recruitment and selection process. Selection processes include panel interviews and reference checks.

Every role has a job description, and human resource needs are reviewed every month as part of the management meetings.

Development

In 2012 they invested more than $2 million on training, including an online learning system.

The training program investment is above the national average, with 4% of payroll spent on training annually.

They also have sent several executive staff to Harvard to do intensive short courses.

Maintenance

Staff retention is important to Windsors.

The turnover rate for factory staff (excluding retirements) in 2013 was 4%, and for non factory staff 6%.

They believe their low turnover rate means their people think Windsor is a great place to work.

Windsor's return to work rates following maternity leave remain high at around 90% and data suggests their ability to offer part-time work for women returning from maternity leave has had a significant impact on the retention of women.

Additionally Windsor's offer a range of benefits such as:

- a Windsor's product pack for staff each fortnight
- incentive programs for efficiency targets
- external study program
- subsidised income protection insurance
- team events and company conference
- flexible work arrangements including job share

Separation

All separation is governed by law.

In 2007 there were a series of voluntary and involuntary redundancies after a new site was established (moving to Blacktown from Bankstown).

All redundancy payments were made in line with the workplace ombudsman's requirements: for example an employee with 10 years service was paid 12 weeks based on their current base rate plus other leave owing. For those who took a voluntary redundancy there was a 10 week pay bonus.

HR Strategies... Leadership style

Windsor take a contingency approach to management.

The style of management varies depending on the situation.

Across the business the managers have moved to a democratic style and have included employees in decision making in a team based environment. On occasion autocratic style is necessary where there is machinery and risk of injury and where process is important. Some coaching styles are used to assist employees resolve issues and identify strengths.

[maybe need an example where a manager was rude/difficult and was counselled/replaced – ie where the strategy was applied]

Recruitment (internal or external, general or specific)

Windsor encourage employees to apply for positions from within and have a rule that all internal applicants will be interviewed, this boosts morale and reduces turnover in the business.

For most roles in the business they recruit from external sources such as SEEK so as to reach a wider pool of applicants.

Training & development

Windsor provides individuals with the opportunity to develop their skills and grow as professionals. In 2012 they invested more than $2 million on training.

The training program investment is above the national average, with 4% of payroll spent on training annually.

They also encourage employees to improve professional skills through external study, or by acquiring additional qualifications.

Windsor's Education Tuition Aid Policy supports employees by providing time-off and financial support for approved courses. Windsors also takes a collaborative approach to sharing learnings and technology which deliver environmental benefits to industry and the community.

Performance management

Windsor's performance management is largely administrative, that is, it is linked to executive bonus and remuneration for staff who meet their KPI's.

Under a profit share agreement, a percentage of company profit is pooled and distributed to staff depending upon their performance appraisal. Part of the process is developmental and strengths and weaknesses may be identified and new goals established.

Factory staff are also appraised yearly and dependent on performance do have access to the profit pool. All staff managing people must complete 360 degree feedback processes which measure performance against a range of KPIs including demonstration of Windsor's values and ethics.

Rewards

Windsor offers a range of monetary benefits including:

- enterprise agreement above award rates
- a Windsors product pack for staff each fortnight
- incentive programs for efficiency targets
- subsidised income protection insurance
- bonus and share options for the top 20% remunerated staff

They also offer non monetary benefits such as:

- external study program
- team events and company conference
- flexible work arrangements including job share

Global - costs, skills, supply

After the acquisition of foreign businesses in NZ and Malaysia it was important to consider staffing arrangements. Given that these businesses were existing Windsors used a polycentric staffing system.

Managerial and executive roles in the foreign businesses were filled with home country staff and host country staff remained working in current roles, particularly factory staff.

Workplace disputes

In 2004 workers took industrial action following a pay freeze, in a protracted strike that lasted 2 months.

Inventory levels were insufficient for retailers, the brand value suffered with adverse media coverage, the supply chain continued to deliver raw materials in line with long term supply contracts, and the business was making monthly losses.

As a result of conciliation processes using an external mediator:

- pay levels were increased
- a commitment made by Windsor to improve working conditions
- a commitment made by Windsor to move to ISO 9001 quality certficiation
- Windsor decided to relocate manufacturing facilities to a new greenfields site at Blacktown with state of the art equipment.

Effectiveness of HR

The HR department use a range of quantitative and qualitative instruments to measure their effectiveness.

They have recorded the following quantitative measurements:

Staff turnover

	Factory	*Non factory*
2004	*14%*	*21%*
2008	*10%*	*10%*
2012	*6%*	*6%*

2013	*4%*	*6%*

Absenteeism, Factory accidents and days lost to disputes

Average numbers of days absent per staff member, number of factory accidents and days lost to disputes are tracked, and are trending favourably.

	Average Days absent	Factory Accidents	Days lost to disputes
2004	7.2	24	54
2011	6.3	8	12
2012	6.9	3	2
2013	5.5	4	3

Qualitative measurements are also used via a staff surveys twice yearly on corporate culture and worker satisfaction. Staff are asked to rate items such as happiness with management, happiness in role, well being, corporate flexibility etc...This information provides insights for executive/managerial staff and has led to changes in leadership style, workplace flexibility arrangements and non monetary benefits in the business.

Appendix A – Process of making chocolate

Overview of the chocolate making process

Ingredients

Production starts at the Malaysian cocoa factory where the top quality Fair Trade cocoa beans are processed to produce the cocoa mass - which contains 53% cocoa and cocoa butter - the basis for all chocolate products. When chocolate is made, the 'mass' goes straight to the factory in Blacktown NSW or our New Zealand operations.

Fresh full cream milk is collected and condensed and transported to the factories. Sugar is added to the condensed milk with some of the cocoa mass, making a rich creamy chocolate liquid, which is then evaporated to make milk chocolate crumb. As these ingredients are cooked together, the special rich creamy taste of chocolate is produced.

Each year, 22,000 tonnes of crumb is produced at Blacktown to be made into chocolate. On arrival at the chocolate factory, the crumb is passed through a pin mill and mixed with cocoa liquor and cocoa butter, as well as special chocolate flavouring. The amount of emulsifiers added depends on the consistency of the chocolate required. Thick chocolate is needed for moulded blocks, while a thinner consistency is used for assortments and covering bars. Both milk and dark chocolate undergo the same final special production stages - refining, conching and tempering - which produce the famous smoothness, gloss and snap of Windsor chocolate. Conching involves mixing and beating the semi-liquid mixture to develop the flavour, removing unwanted volatile flavours and reducing the viscosity and particle size.

Tempering is the final crucial and complex stage which involves mixing and cooling the liquid chocolate under carefully controlled conditions to ensure that the fat in the chocolate crystallises in its most stable form. Highly sophisticated machinery has been developed for this process, which is one of the skills of the chocolatier. Tempered chocolate is used in a number of ways to produce the famous brands. Blocks of solid chocolate, including bars with added ingredients such as nuts and raisins, are known in the industry as 'moulded' products. Tempered chocolate is poured into bar-shaped moulds, shaken and cooled, then the moulded blocks continue to high speed wrapping plants.